

TABLE 6.23 Sector results 2007

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	2.1	5.8	9.4	-5.4	3.6	15.5
Short	-1.1	-1.4	-3.9	-3.4	-1.3	-11.2
Total	1.1	3.7	4.7	-8.6	2.2	3.1

TABLE 6.24 Results 2007

	US\$	Percentage
Starting NAV	20,784,702	207.85
Trading result	646,307	3.10
Interest income	570,098	2.70
Management fee	315,187	1.50
Performance fee	135,183	0.70
Net result	766,036	3.70
Ending NAV	21,550,738	215.50

Back in 2007, you could still get a bit of free money from your friendly neighbourhood government, and in this case we nearly doubled our tiny performance on this (Table 6.24). Once again, you do get paid both management fees and performance fees on this free money, and that helps you get at least a living salary for this dumpster fire of a year.

We had a trading gain of about 3%, got another 3% from the interest on excess capital, and after management and performance fees you still returned 4% to investors. For yourself, you got US\$450,000 in combined fees. This being a trading business, you have probably started building a cost structure around you by now, perhaps with offices and employees, and so it's not like this is just money in the pocket. Still, you're making money and so are your investors, and that's the main thing.

■ 2008

You underperformed the equity markets a few years and now your investors are likely asking you why they should pay you millions of dollars to gamble their money, when they could have simply bought a lost cost passive ETF, tracking the stock markets. You might even start wondering the same thing. If you've been around the markets long enough, you should know that in a strong bull market, stocks are king. But you should also know that it never lasts.